High Probability TCT Models variables consist of 4 key components:

Section B: High probability TCT model variables

1. Quality RTZ

- HP ranging environmnent

2. Range duration

- minimum duration

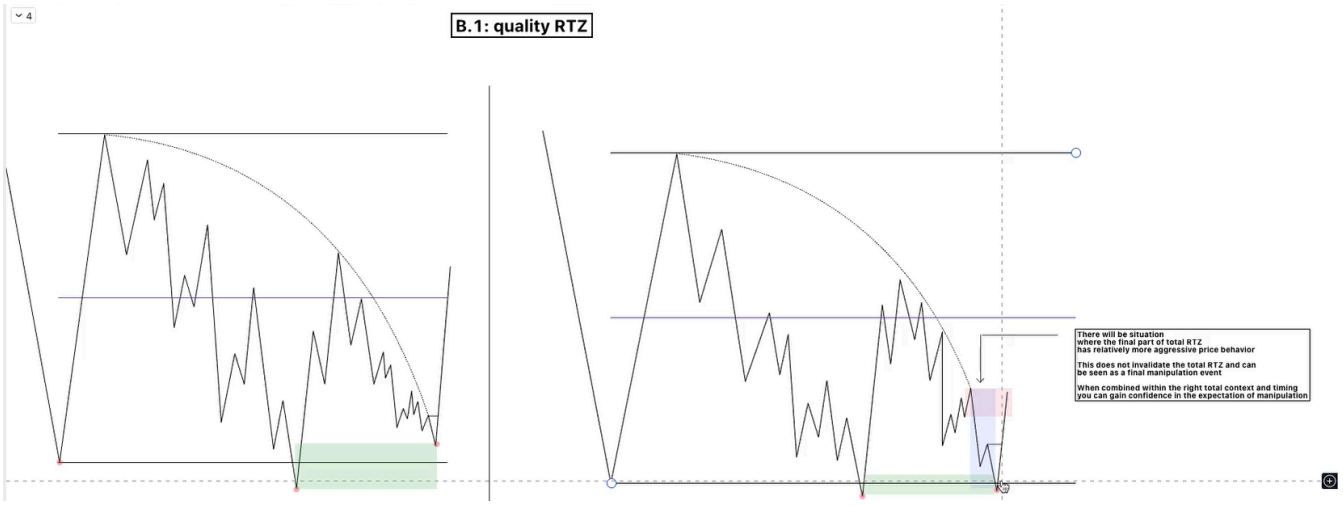
3. Quality 3rd tap POI

- Location of third tap POI
- Exception of EL POI

4. Quality BOS

- characteristics of quality breaks

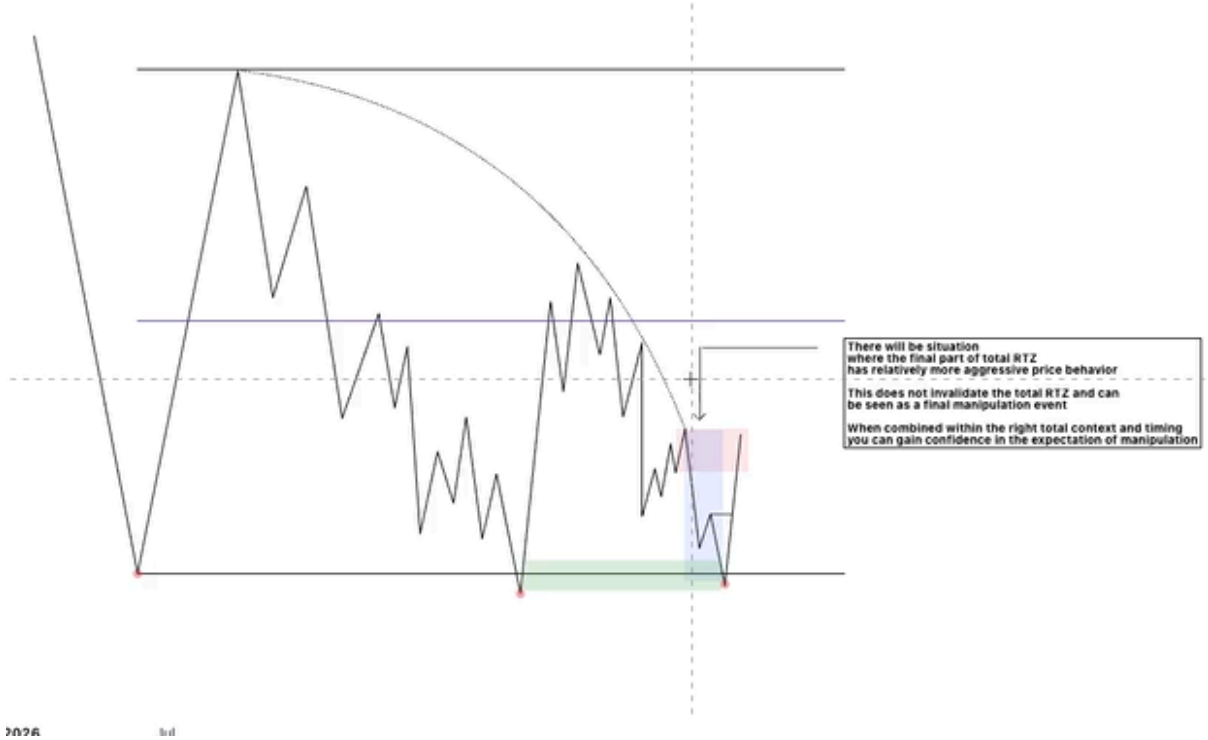
Elaboration
1: HP = High Probability & RTZ = return to zone
2: Ranges need to have a minimum duration in order for you to avoid irrelevant TCT Models
3: How can we minimize room for error? To build extra conviction for our model.
4: (inside of our TCT Model) To eliminate any doubts and only trade the highest probability of highest probability in the game of WyckOff.



On the left a perfect model 2 accumulation schematic. The BOS is simultaneously breaking out of the return to zone (liquidity curve). This perfect schematic happens some times but not often.

It is not always this perfect in the real market. You don't usually see the perfect curing down effect. So maybe the highs aren't the best, but there is also no supply in this region, which would still be confirmation. Causing the move up being fairly simple. THe highest probability model does not always have the text book price action, which is also where the 2 exceptions will come into place.

Section B.1:
2 exceptions:
first exception



The final part of the return to zone has relatively more aggressive price behaviour. This does not invalidate the total return to zone, and can be seen as a final manipulation event. When combined within the right total context and timing, you can gain confidence in the expectation of the manipulation.

When I'm looking at accumulation and we are in a very high probability context for more upside. Any move down that's more aggressive coming into that third tap. Is automatically viewed more as an accumulation event. Rather

than you having a model, but it’s kinda counter context and then that final phase of the model is relatively more aggressive.

When you’re counter context you want everything to be even more perfect, then when you are pro-context. When you’re counter context, an explosive move can kinda invalidate the model.

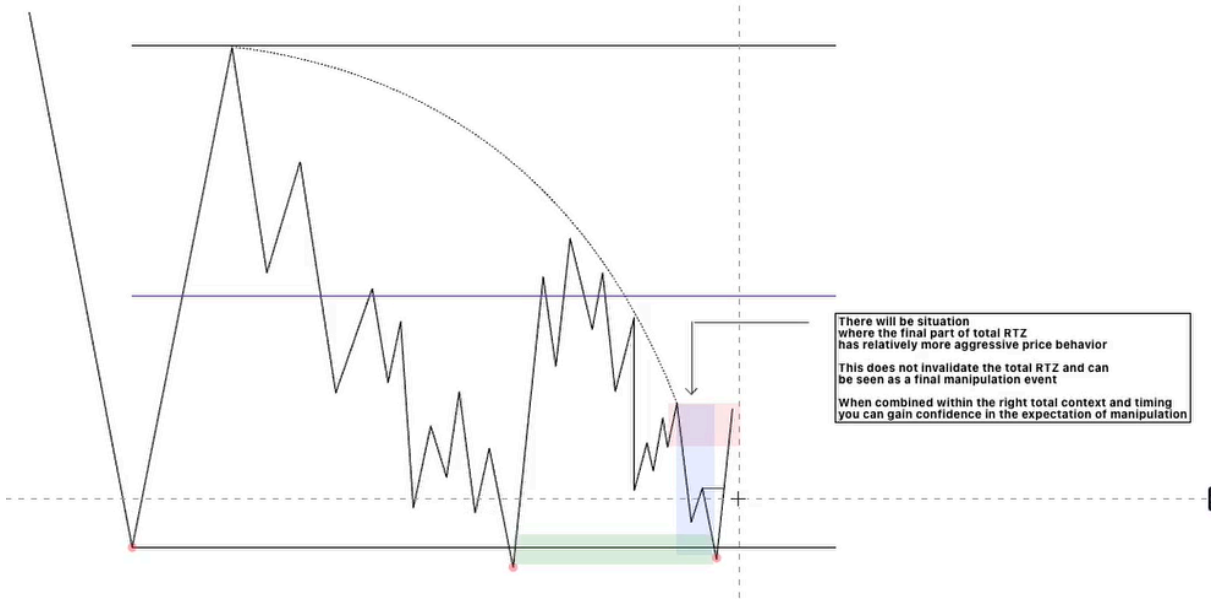
So when you are in the right context and expecting accumulation to take place, a relatively more aggressive move into the third tap is very optimal for a reversal. This indicates liquidations and fear coming into the market, within the POI. Which is very vulnerable to getting reversed if the purpose of the range is to accumulate and go higher. This is within the right total context. With the expectation of the final manipulation event.

From a timing standpoint it is mostly going timed , with the opening of the New York Opening. Often Times New York Open, loves to have a manipulation hour. Where the first hour of the New York Session is manipulation. So if New York Opens and you see a relatively more aggressive move into the third tap, compared to the total return to zone build up prior. Then from a timing standpoint you know that that first hour can deliver that sell into the first tap, followed by the buy into that reversal. This is the meaning of when we were saying when combined within the right total context, you can gain confidence. So when the manipulation takes place within the first hours of a session that is a +1 in confidence of it being a manipulation. And you're going to get reversals. Where openings of sessions mostly have the most manipulations, and New York usually has the biggest manipulations. Besides New York, it’s usually Asia for crypto and London does not do a whole lot most of the time.

Clarification, that if you get that total return to zone and only the final part is a bit more aggressive. If you're in the right context, combined with the right timing you can gain the right confidence needed to enter on that break. Sometimes you will create some sort of supply that pushes the price down into that third POI. This can fool you because of the small supply POI right above that market structure high. But because we expect that reversal the purpose of that supply is not to deliver the lower high, for the lower low but the purpose is to mitigate that demand and from there they switch to buying programs.

Experience is needed to gain this feeling better and better.

Final variable of having a quality return to zone, is looking at the return to zone on more time frames.



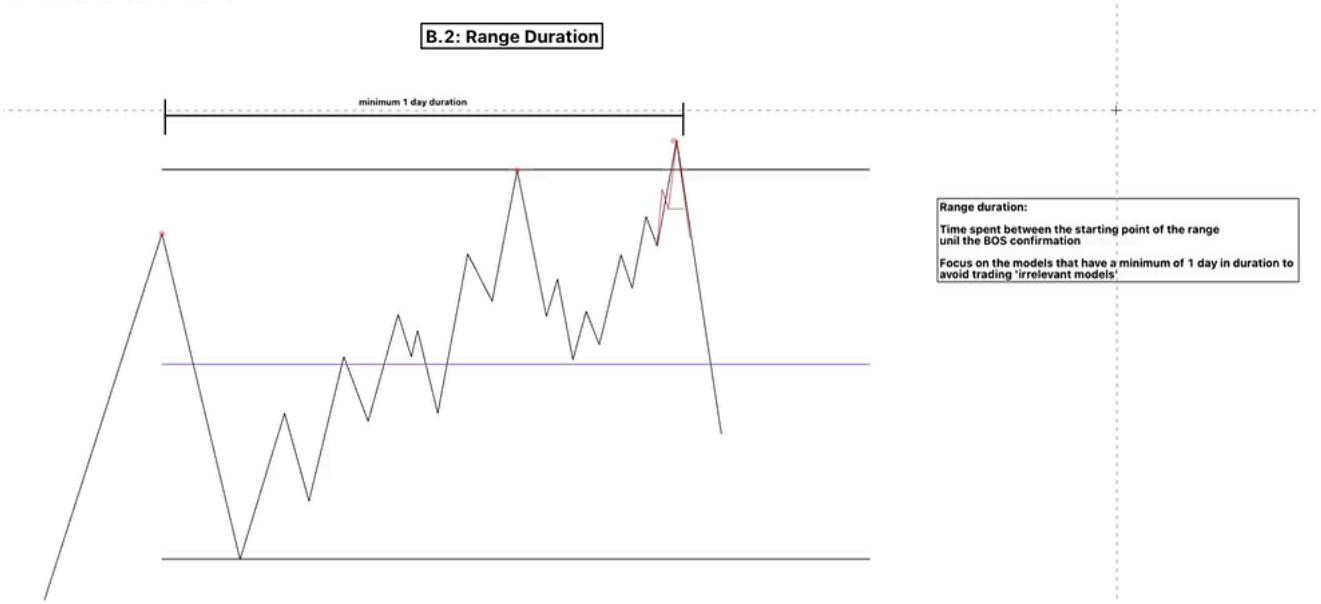
In black: High time frame(HTF) RTZ
In Red: lower time frame(LTF) RTZ

When the RTZ shows on a HTF relatively HTF and you see that RTZ, maybe the final part of that RTZ on that Time Frame(TF). Will have a relatively faster mover towards the downside coming into that third tap POI.But if you zoom into that final expansion of the HTF. You will realize that that expansion on the HTF, on the LTF is mainly just liquidity. You can just see LTF lower highs and lower lows, that have no supply of any kind that can hold price down from getting the reversal back towards the upside. So sometimes you have to go on multiple time frames to realize you have an overall HTF liquidity curve for that final move down on the LTF is also only consisting off liquidity, which then is still a very high quality RTZ.

Example:

Section B.2
Second exception is Range Duration:

Example model 1 distribution:

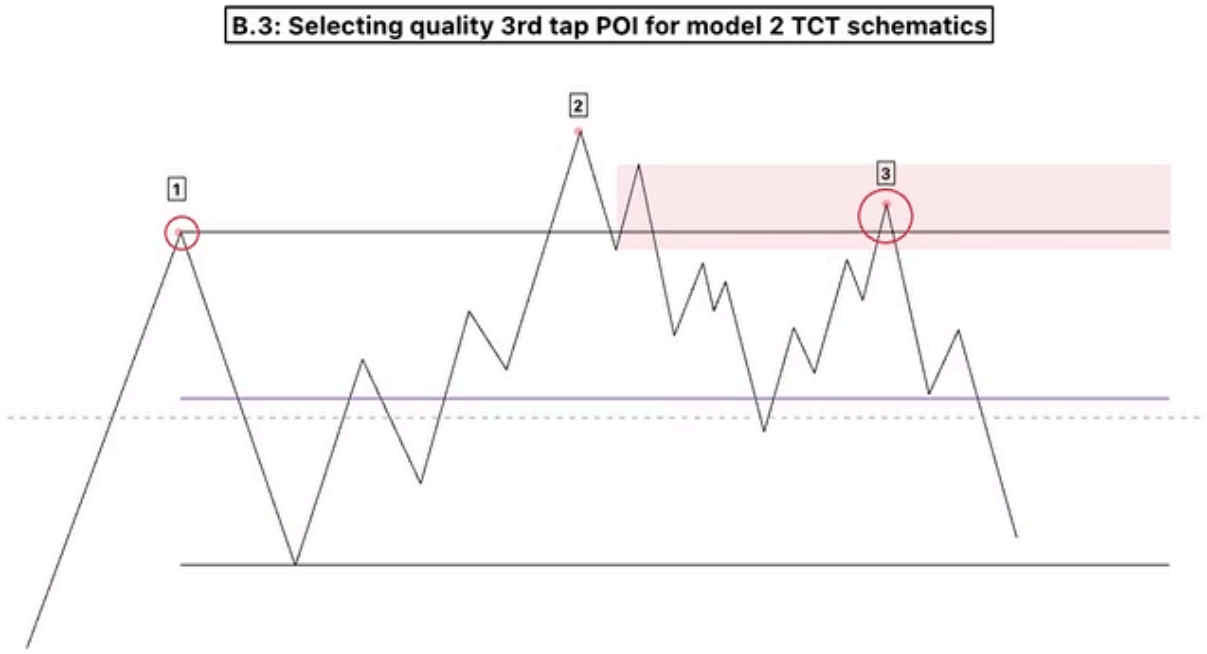


Range duration:
Time spent between the starting point of the range until BOS confirmation.
Focus on the models that have a minimum of 1 day in duration to avoid trading “irrelevant models”.

We want to be focussing on the models that have a minimum of 1 Day in duration. Usually optimal set ups will be 1 day and 10hours. This is to avoid low time frame models that are not relevant “enough”, unless you're very good at context building.
Section B.3: Selecting quality 3rd tap POI for model 2 TCT schematics.

By far the most difficult of the TCT models so far. (not for us tho). This is because it is prone to misuse a POI and validate that POI as a 3rd tap, when it’s simply not a 3rd tap. (this is the worst we can do, since we think we trade a valid model, but it’s not a valid model. and all your order flow objective based on the confirmation is based on something that is not true. So your trading a system that is validated.)

Example:



Quality 3rd tap POI:
A high probability third tap POI has to do with High Probability(HP) S&D(supply and demand) area’s located around tap 1.
Preferably a deviation of tap 1.

If you don’t get this right, you’ll get stopped out too many times because of wicks you didn’t anticipate correctly.

First of all we want a tap 3 POI located around tap 1 of our model.

This is going to be focussed from a model 2 perspective since model 1 takes the higher low and is done. So don't get this confused.

It all starts with a HP Supply or Demand area or an extreme liquidity area.

From a high probability(HP) S&D perspective, it all starts first with a HP supply or demand POI, which is based on order blocks that are also validated on the LTF as structured supply where the true inefficiencies are located. (look back at the supply and demand PDF).

First looking at the POI itself for the 3rd tap, it needs to be a HP POI, a good order block at a good location, in that pivot point, sweeping liquidity, where there's a LTF inefficiency and not just liquidity on LTF. AN ACTUAL VALID 3RD TAP POI.

From a location standpoint, the highest probability 3rd taps are going to be located around tap 1 of your TCT Model.

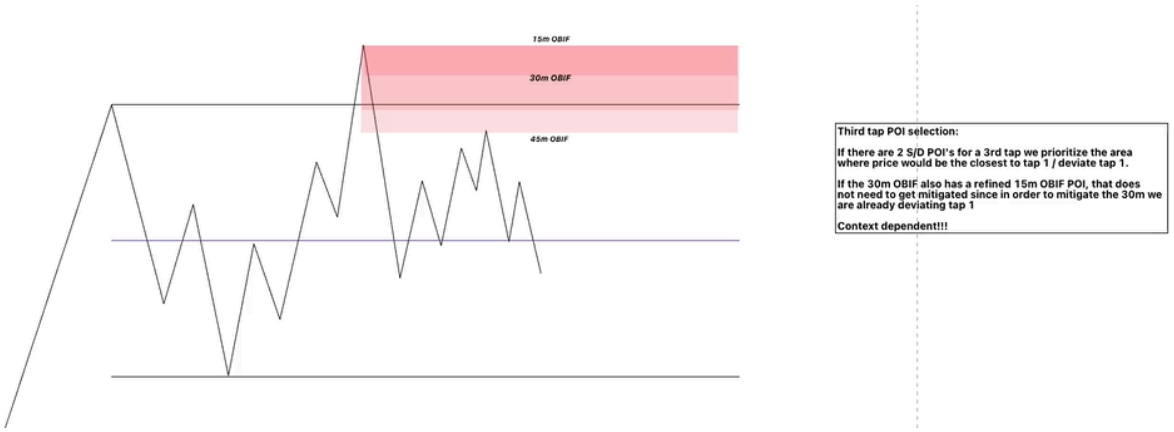
Highest probability models have a 3rd tap around Tap 1. Preferably a deviation of tap 1.

When we're trading TCT schematics we are simply trading range deviations, with a purpose behind hind, which is WyckOff. Or at least what WyckOff has elaborated on.

Our core is trading range deviations. With core range starting points like Tap 1 and the low after tap one. Everything outside this range is a deviation.

Better R:R(Risk : Reward) setups enter at range low or highs.
Best entry's are most of the time in the deviation or at tap 1.

Example of the above:
Trading a model of distribution;



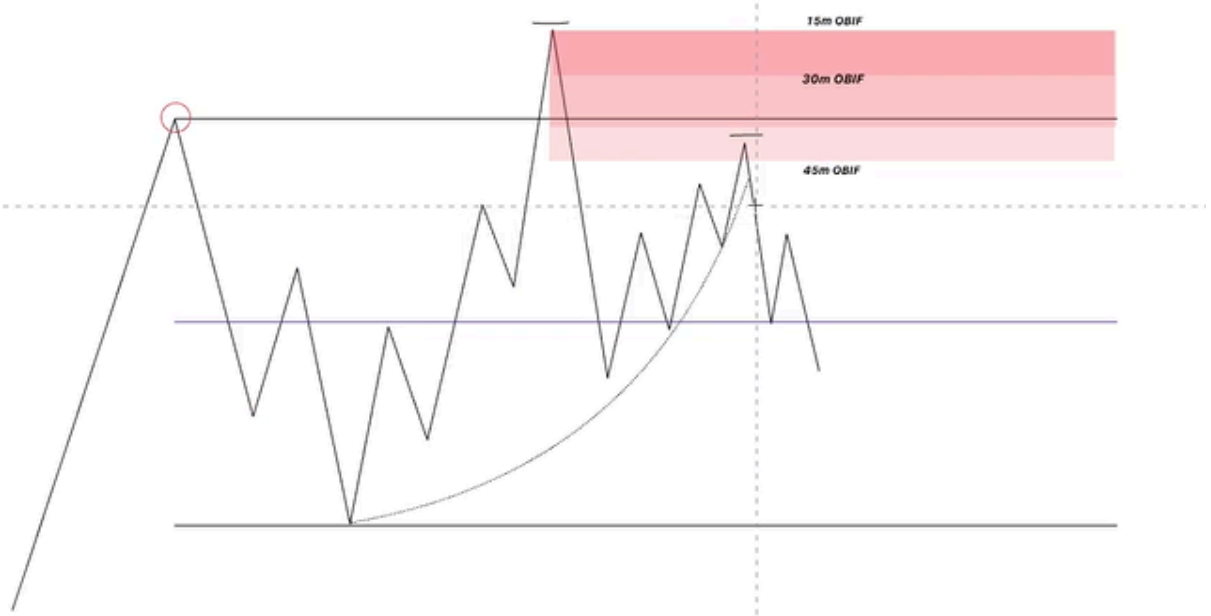
Third Tap POI Selection:
If there are 2 S/D POI's for a 3rd tap, we prioritize the area where price would be the closest to tap 1/ deviate tap1.
If the 30m OBIF also has a refined 15m OBIF POI, that does not need to mitigate since in order to mitigate the 30m we are already deviating tap 1.
(IMPORTANT: CONTEXT DEPENDENT).

Criteria: If there are 2 or 3 structure demand or simply S/D POI's for a 3rd tap, we prioritize the area where price would be the closest to tap 1 or a deviation of tap 1.

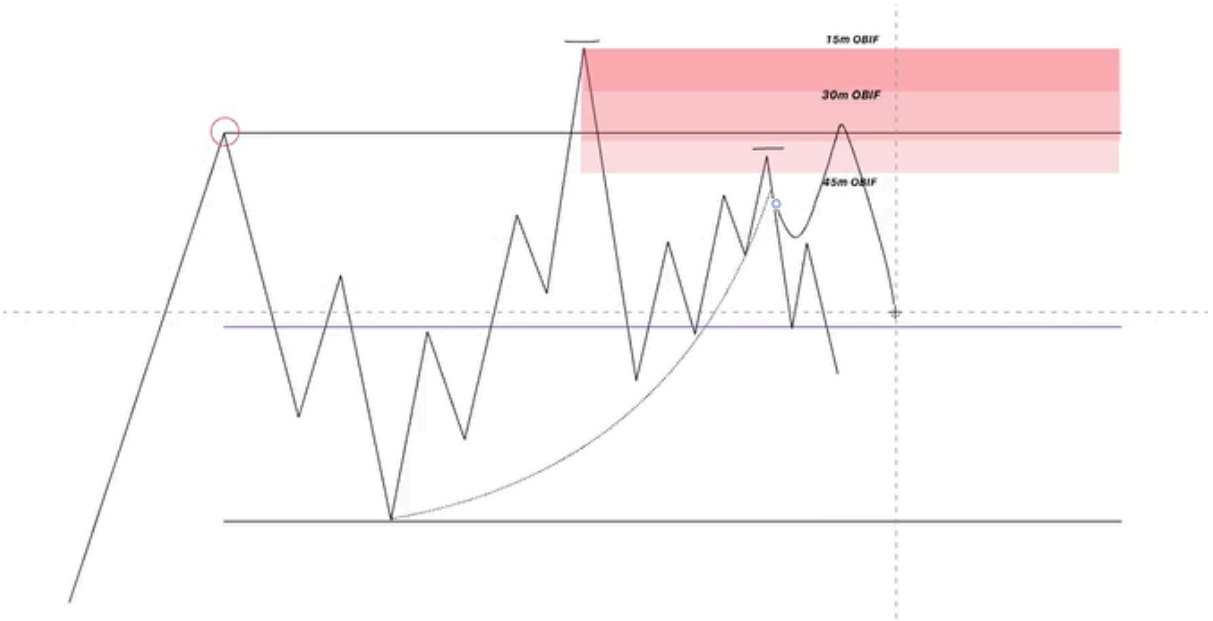
In the example above this this would be as a minimum the 30m block, since it comes closest to our criteria. Being closest and deviation of tap 1. This is also the reason why the 15m does not need to be hit.

Deviating tap 1 in combination with an OBIF around tap 1 is always a trade with SL just above the local high (being the deviation of tap 1 in the 30M OBIF) not above the local high of the 15m OBIF. This is considered too much room for error.

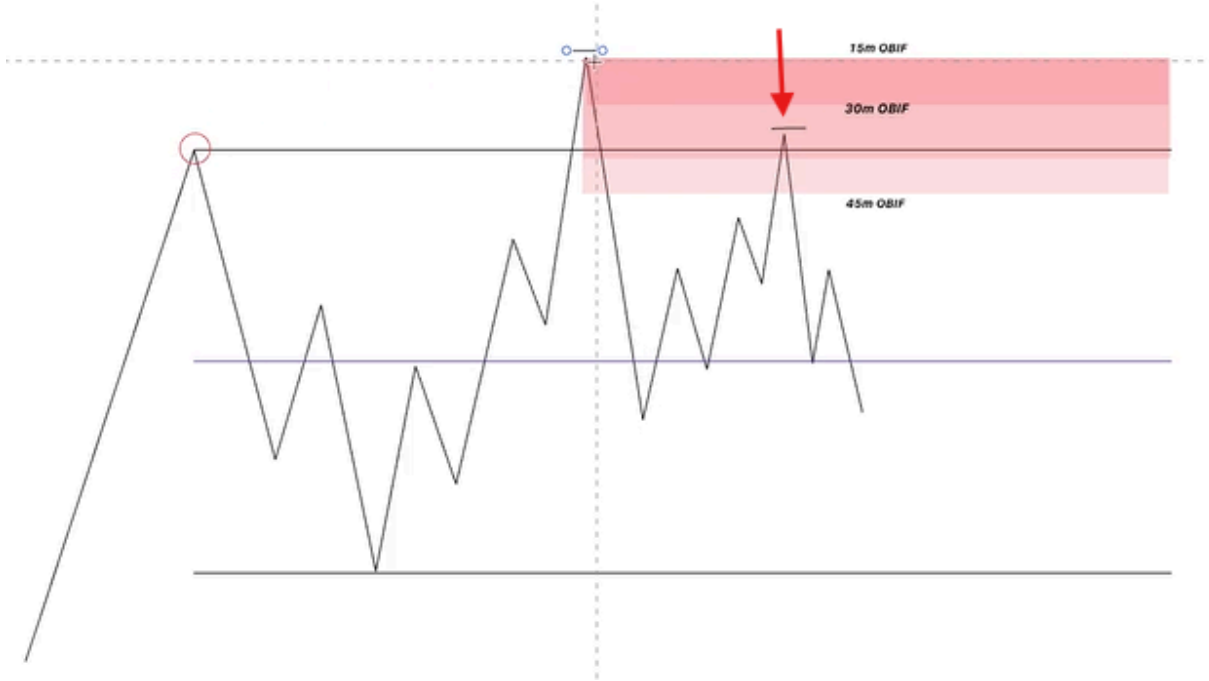
(more elaboration on context dependance below)
Example on when to trade the example 45m OBIF:
A super high quality RTZ, straight into that 45m OBIF. Maybe even combined with a range inefficiency and BOS.



This way there is not much pushing/ attracting price higher (in distribution and lower in accumulation). So this gives context of not waiting for deviation.



Keep the SL above the local high(red arrow) after deviation and forming the 3rd tap



NOTE: depending on which POI you're targeting, sometimes you have to first take the loss before you take the next POI that forms the winning trade. Like in the case of the picture above; you trade the 45m OBIF (which is more risky, but can be traded in the right context).

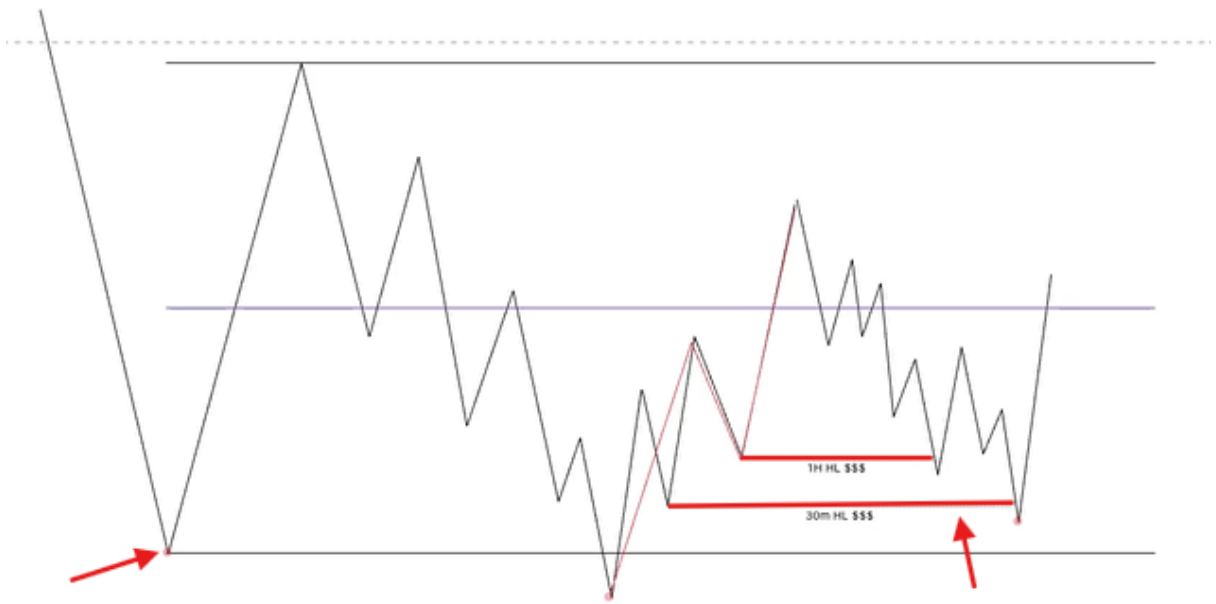
Context dependent meaning to clarify: how high quality, based on all the discussed variables is your model? when you're tapping into the POI. And then you obviously simply wait for your confirmation.

So in the picture above, when you don’t know if the 45m OBIF will be the high or the 30m OBIF in this example. But there is no confirmation coming into the 45M OBIF and you come straight into the 30m OBIF. Then it becomes simple because the market doesn’t give you an opportunity to take the trade on the 45m OBIF.

Important to understand a 3rd tap formed by a deviation is already your extreme and does not require more confirmation. So you don't need to come for refined levels in these cases.

So if your below tap 1 and you do have refined levels that would allow you to deviate tap 1, you need to be on entering on that third tap before deviation, and only take it if it's a very high probability. Or simply accept the fact that you first take your loss before you enter again on the deviation that would make a winning trade. (simply happens sometimes, so not all the time but there will be situations where this is inevitable). Because the R:R of the winner will always outweigh the R:R of the loser trade.

We are going to be shifting to accumulation situations from a liquidity perspective below:



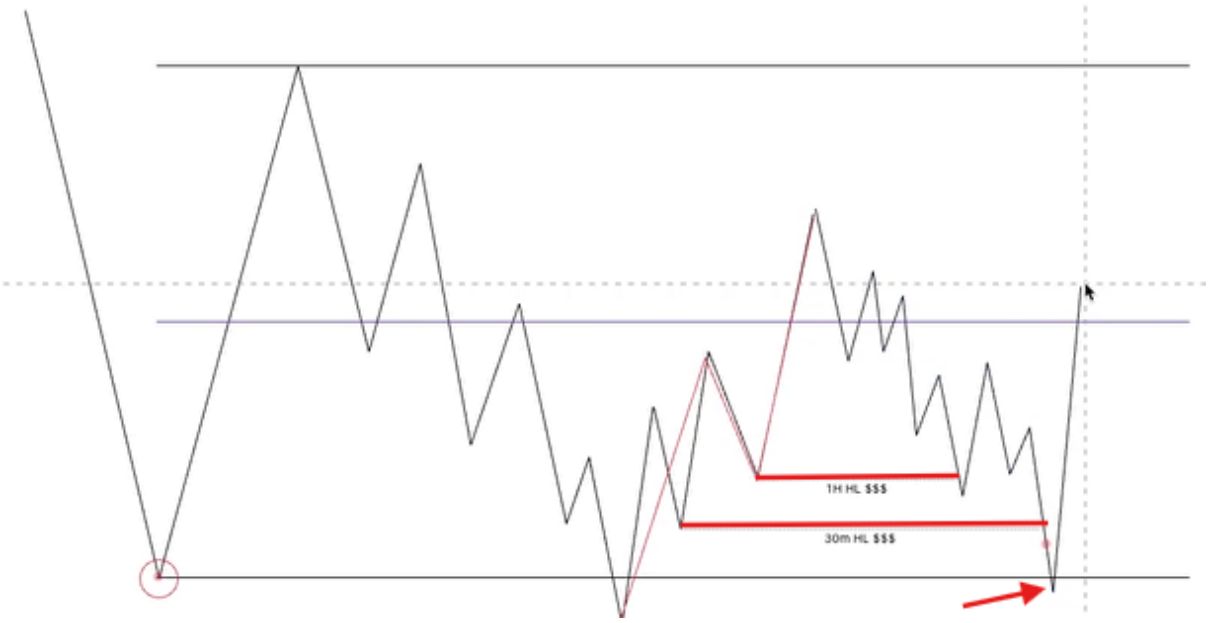
(red line 1 = 1H HL $$$, red line 2 = 30m HL $$$). ($$$ = liquidity)

Same rules apply in case of extreme liquidity POI's.
If there are 2 different higher lows(HL), pick the one that is the at/around tap 1. (second red line, lowest so near tap 1(left arrow on the picture)

We want to be trading the extreme that is closest to tap 1. But the same as in the distribution examples, we prefer to trade the deviation of tap one. This gives more probability and confidence.

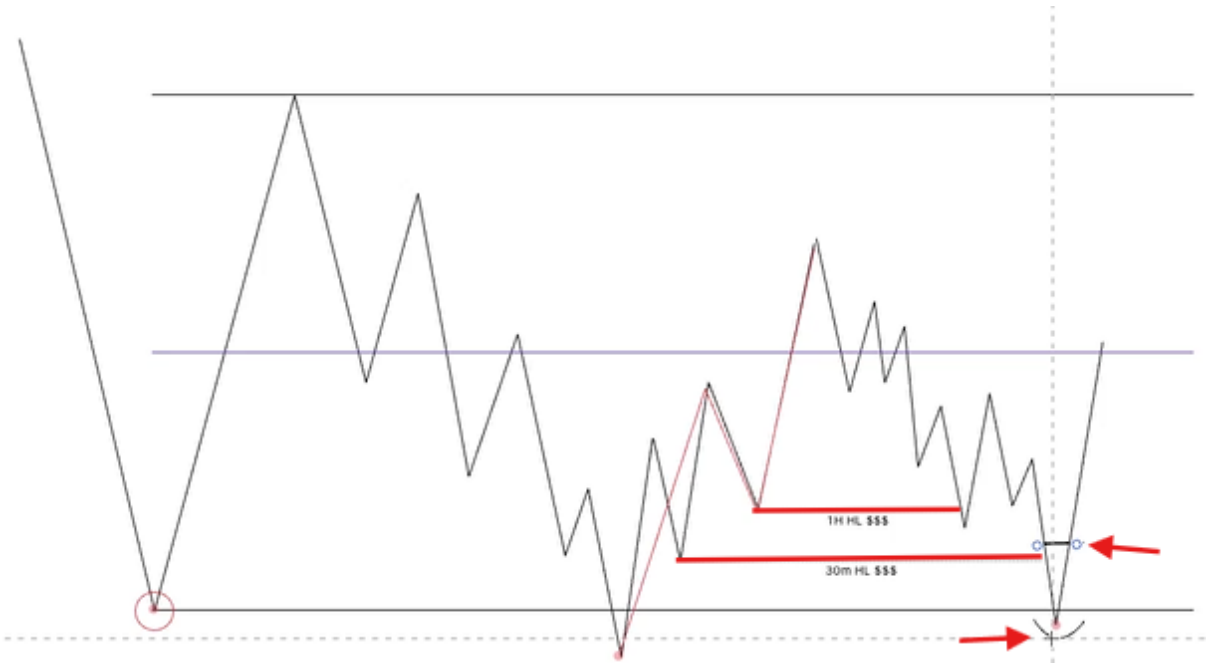
So in the case above we will never use the 1H HL $$$ because this is deeper in the range. We want the most extreme POI, in this case the 30m HL $$$.

It could also be that the deviation towards the 30m HL is pretty steep as shown below:



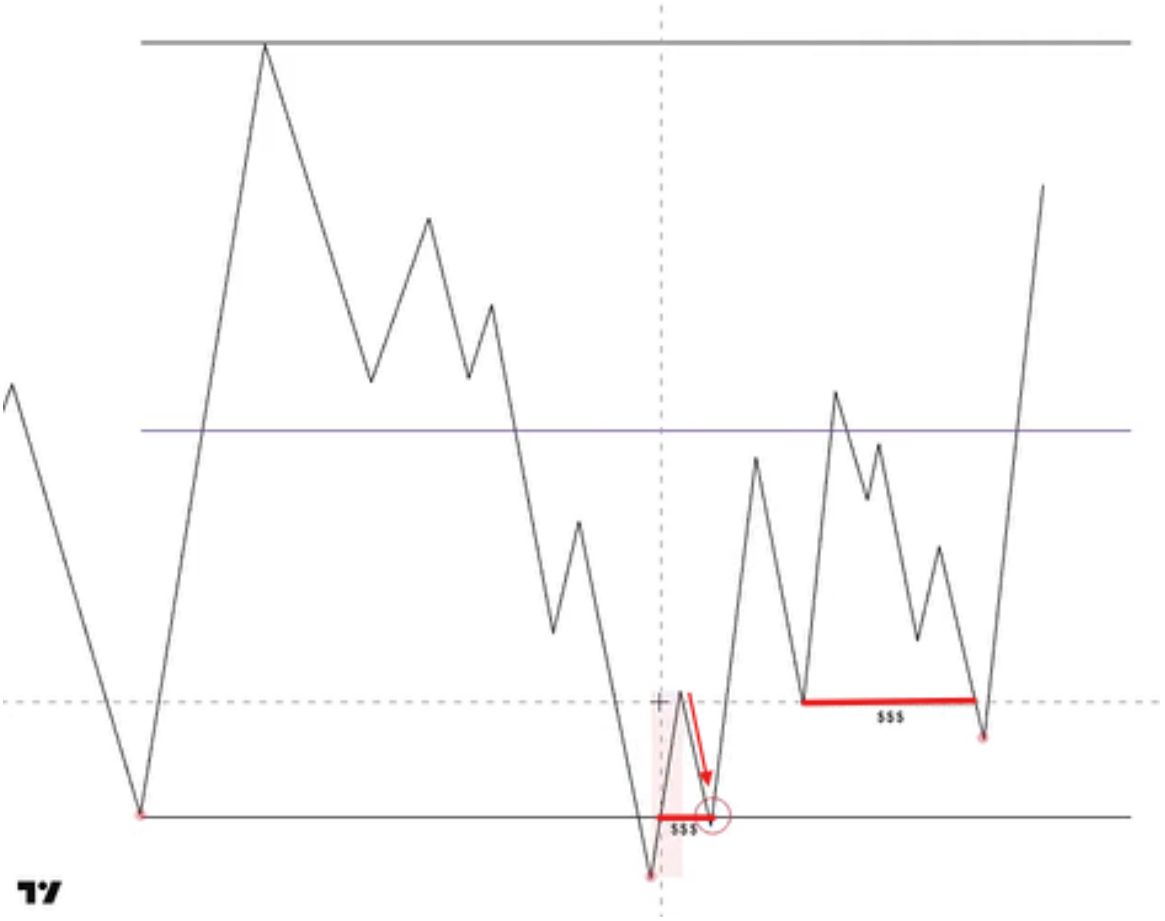
This is super positive since next to sweeping the liquidity of the 30m HL, we also deviate tap 1. which gives us more confidence (happens quite often).

You put the SL below that deviation in confirmation with the BOS after the deviation. This gives confidence in your SL. Since if this gets hit its an invalidation of the accumulation model. example below:



Exceptions of the extreme extreme liquidity POI’s within the TCT models:

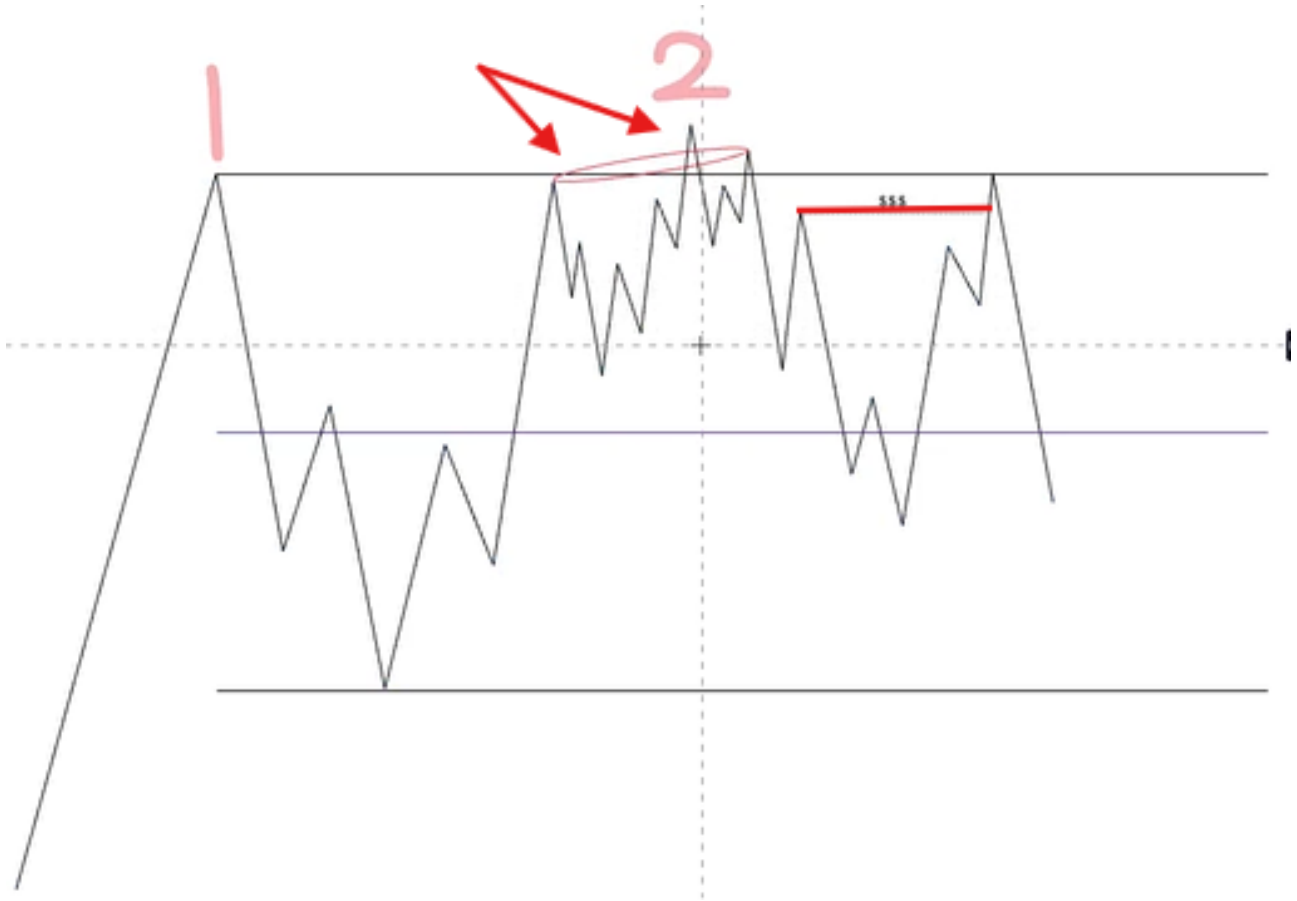
Below a model 2 accumulation schematic (but out of the ordinary):



After the deviation of tap 1(makes the deviation tap 2), the HL takes the 2nd tap's liquidity as shown above. It does in this case not count as a proper tap 3(since it grabbed liquidity, after the initial expansion from the deviation (tap 2).

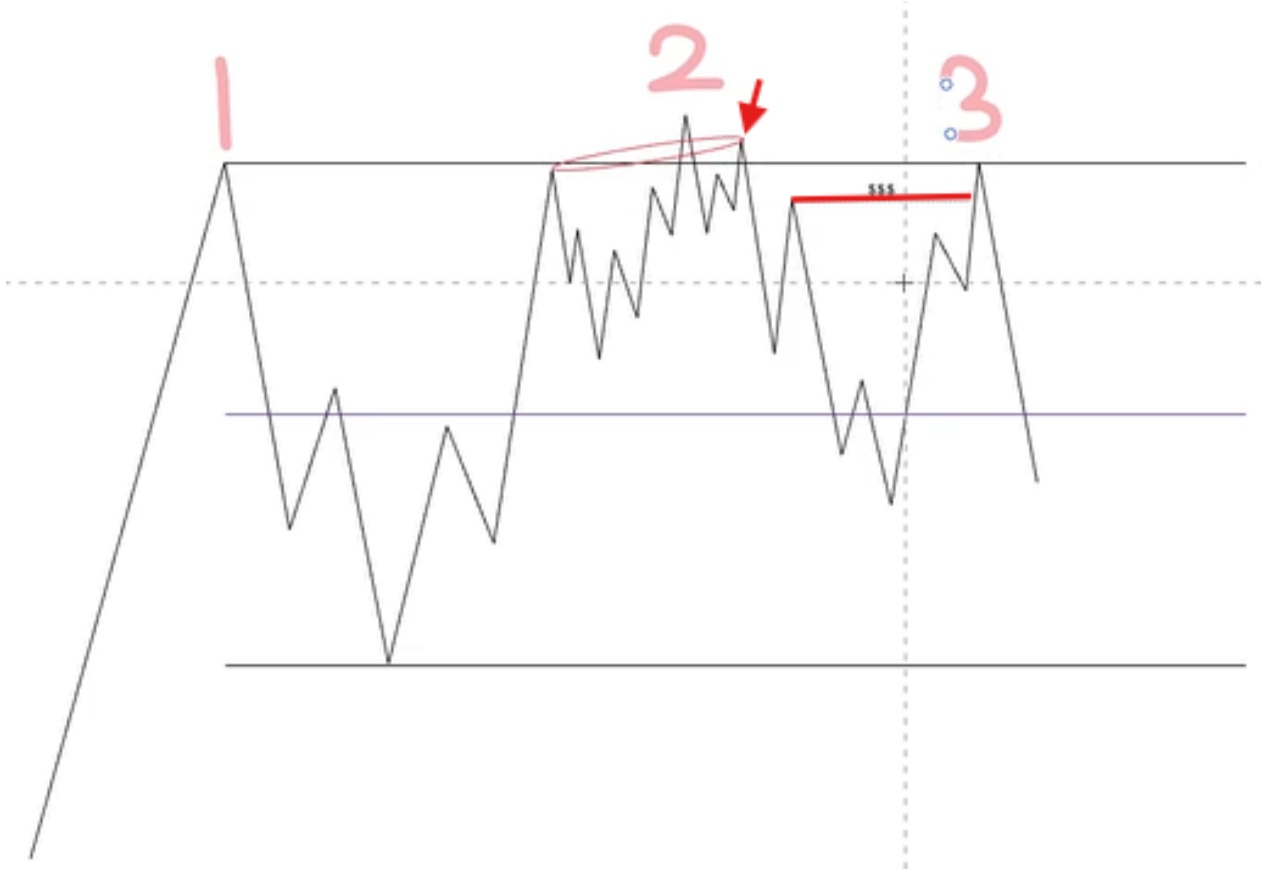
To add on this, HL that took the liquidity; when it gives a V-Shape reversal as shown above it often creates a Demand POI(it doesn't need to always be like this, but it often happens). But if there becomes a demand POI, this will give an extremely easy trade, since this would give confidence that tap 3 won't be a deviation. If there is no demand the priority becomes the next HL. in the case above it didn't grab the extremes of the tap that came after the deviation. It's only use case in this environment is to create a HL(this now becomes your liquidity target). This makes us shift focus to the next move that in the example has taken the liquidity/ extremes(red line deviation).

There are going to be situations, which happen quite often. That you will have your initial range high and range low. And coming towards the second tap on the HTF, there will be situations where on the LTF that 2nd tap has it's own TCT distribution schematic(red arrow on example below(in this case a model 2 distribution):

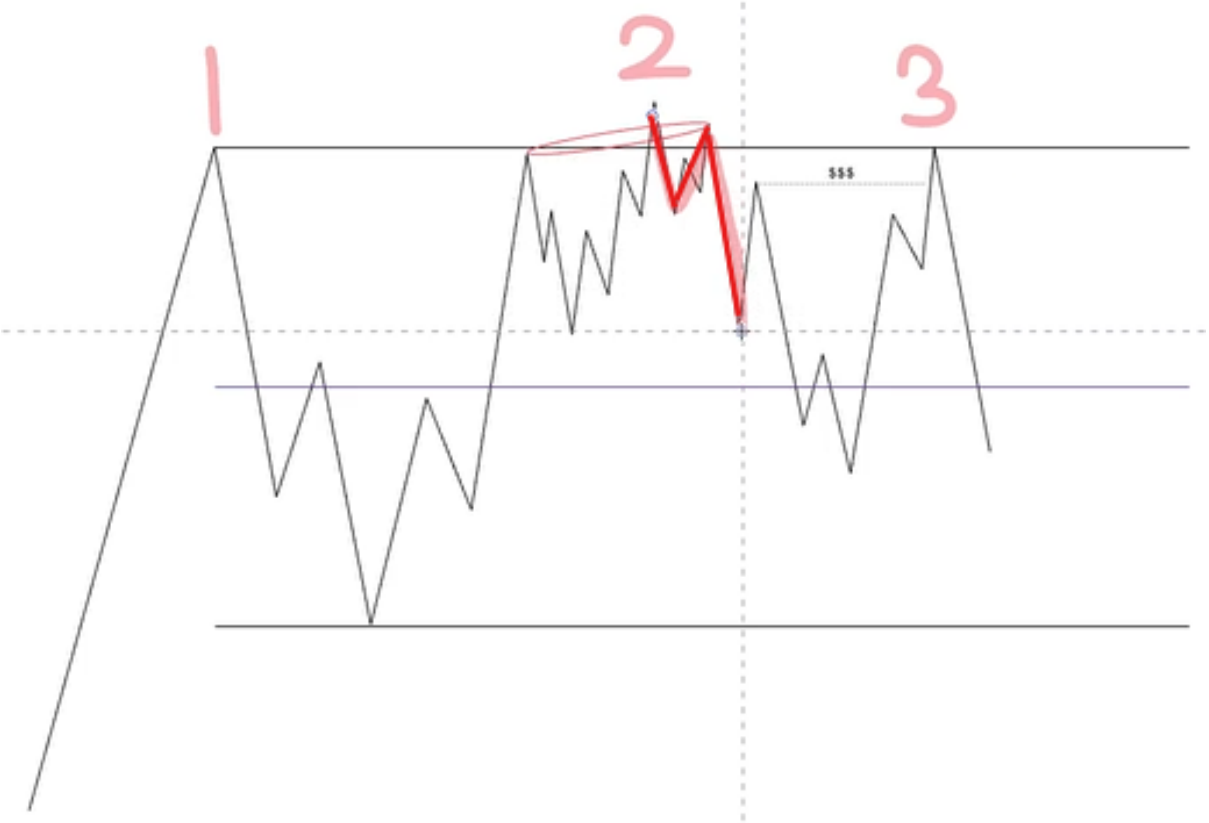


This example happens quite often!

If your second tap has it’s own distribution schematic, then this tap(red arrow below) is obviously not a liquidity target from an extreme liquidity perspective on the HTF. Because this was part of your LTF 1,2,3 tap in the distribution schematic. If this is a valid 3rd tap on the LTF. That means it either grabbed the extreme liquidity or the extreme supply of the expansion towards the downside after it put in that LTF 2nd tap. This 3rd tap is not going to be your target from an extreme liquidity target when we are going to be trading the HTF 1st, 2nd and 3rd tap for the high probability distribution model.

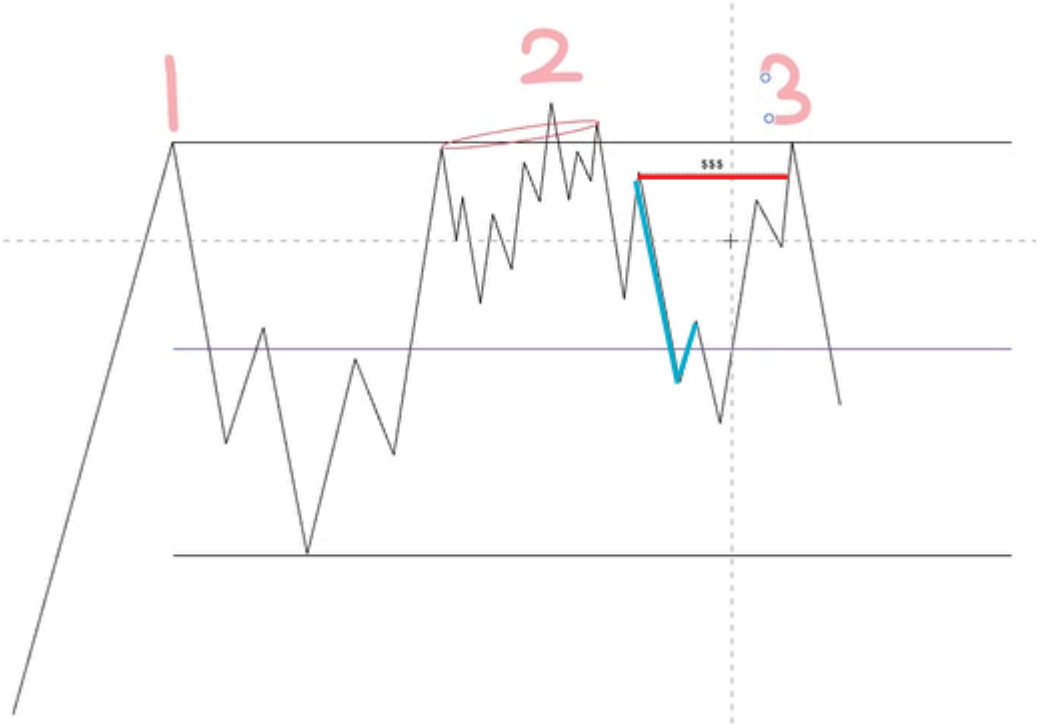


So when I then define our 3rd tap POI from a liquidity perspective. Then the first LL for the LH on the HTF is not going to be our 3rd tap POI from that liquidity perspective. Despite it being around tap 1, and has deviated tap 1 to grab that point. (example below)

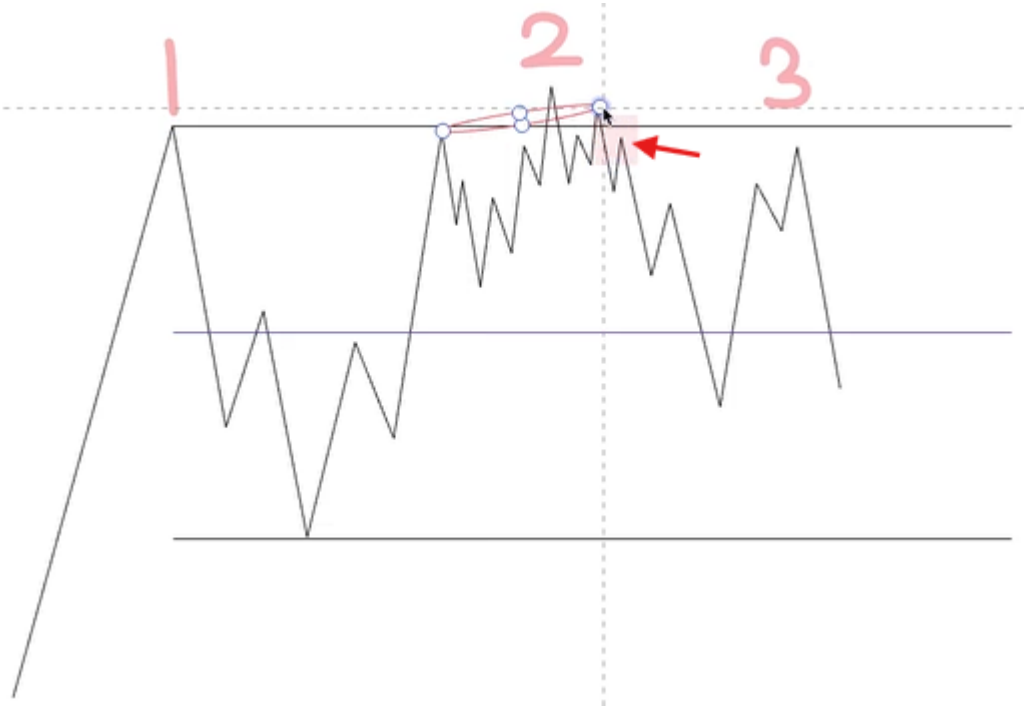


So in this case we use the 2nd LH for the LL(blue line) as your liquidity target, that is not a particularly direct part of the LTF distribution around tap 2.

Example below:



But if you have an extended distribution where price comes back up for the extreme supply once more (red arrow in the example below). This would also not become your 3rd tap POI, from a liquidity perspective. It grabs the extreme liquidity before the move further down. example below:



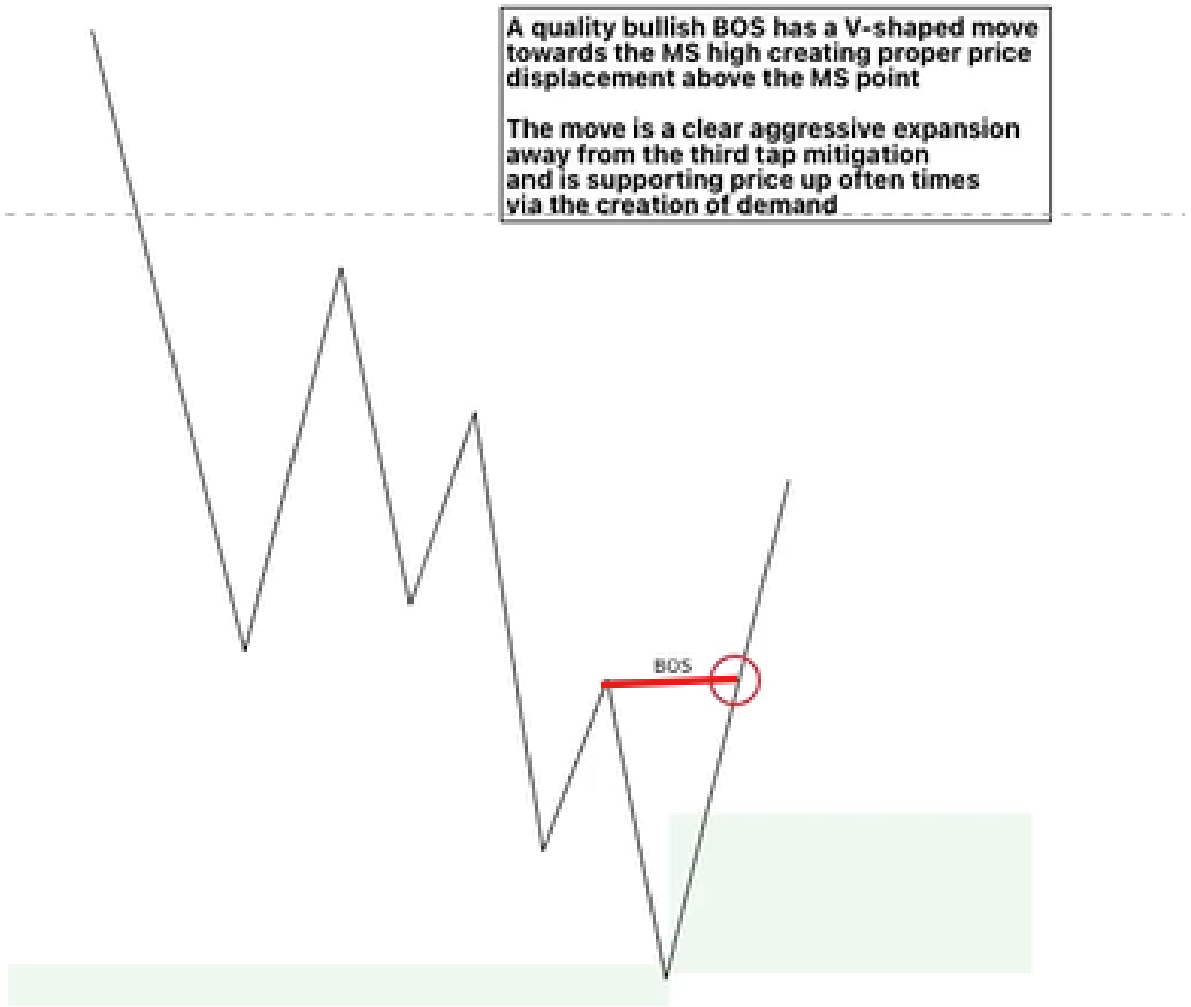
So in summary; when you have a LTF distribution schematic around the 2nd tap. Look at which highs were part of the schematic as they will not count as the extreme liquidity POI for our 3rd tap.

VERY IMPORTANT TO UNDERSTAND because otherwise you will target the wrong extreme liquidity which was already part of the overall distributive price behaviour within the model.

Quality BOS (Break of Structure):

Without the quality BOS you'll get stopped out before the true break happens.

Below we will discuss 2 scenario's for a bullish BOS but again this works in reverse for a bearish one.

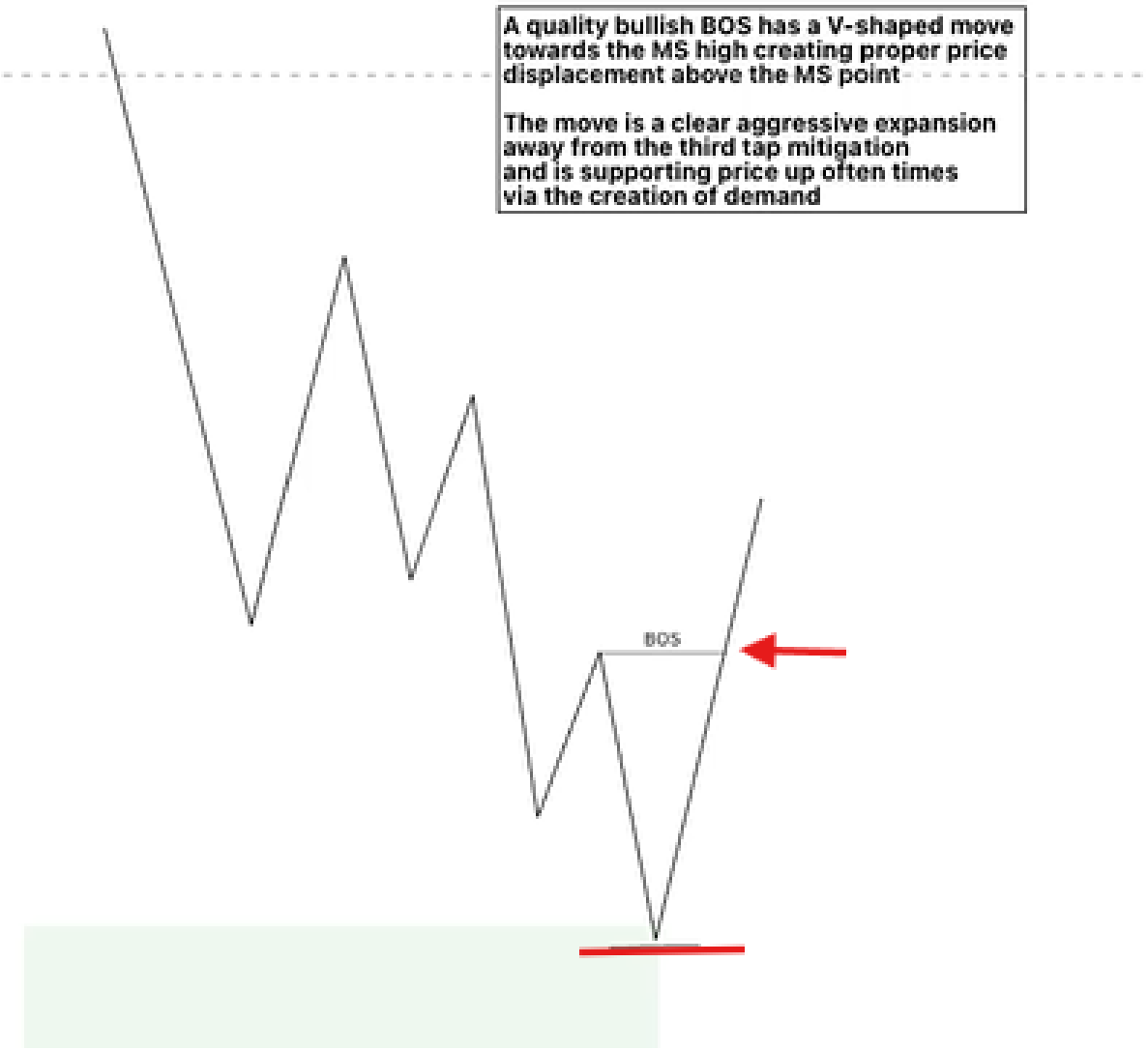


(Red line = BOS) (picture displays a model 2 tap 3 POI BOS)

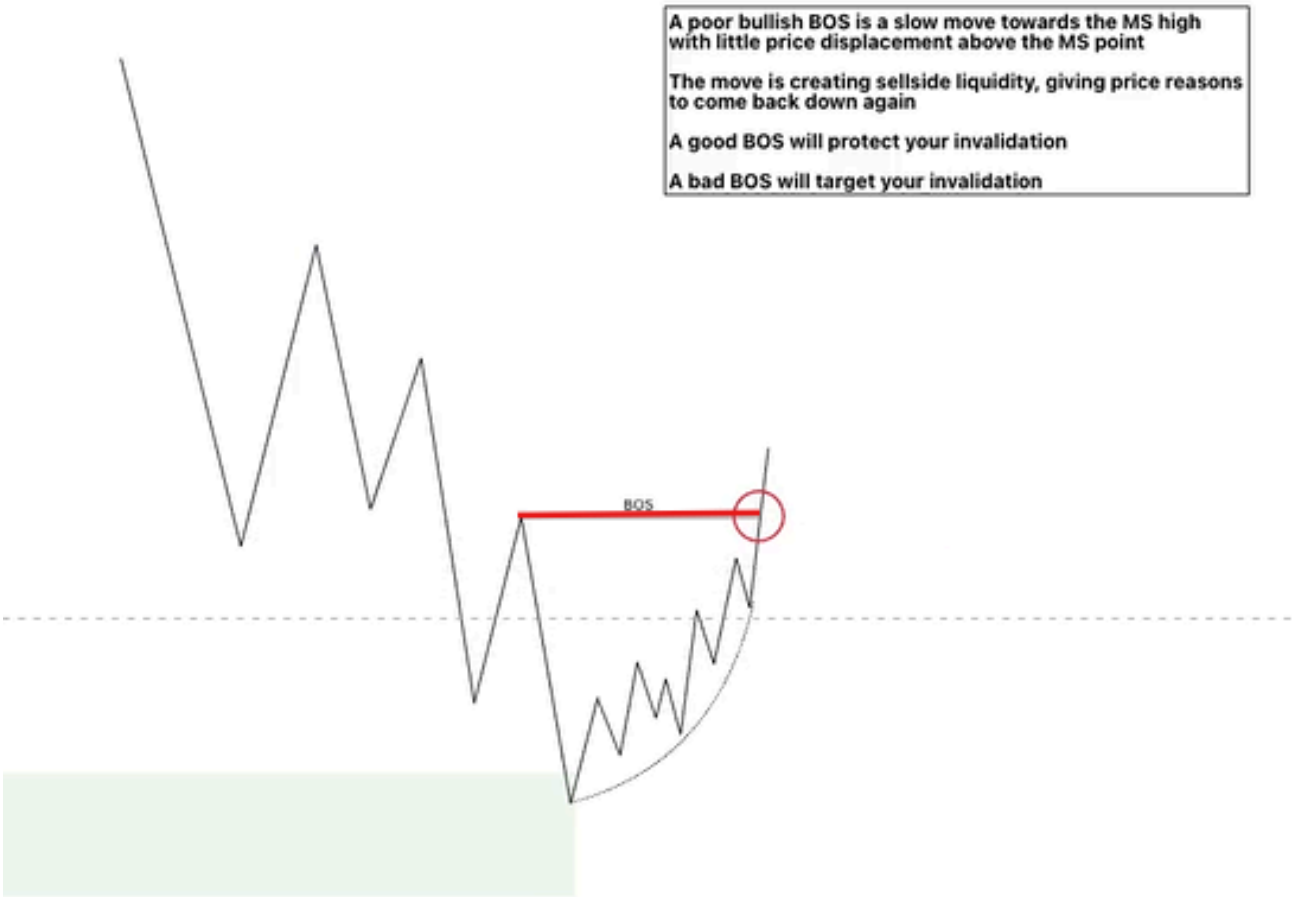
A quality bullish BOS has a V-Shaped move towards the MS(market structure) high creating proper price displacement above the MS point.
The move is a clear aggressive expansion away from the third tap mitigation and is supporting price up often times via the creation of demand.

This means a thick body candle close above the MS high. Often times you will se an inefficiently created.

Using this goes as followed, you enter on the red arrow below and invalidation is the red line below (see picture below):



Below you see an example of a poor bullish BOS. (red line = BOS)



A poor bullish BOS is a slow move towards the MS high with little price displacement above the MS point.
The move is creating sellside liquidity, giving price reasons to come back down again.
A good BOS will protect your invalidation!
A bad BOS will target your invalidation.

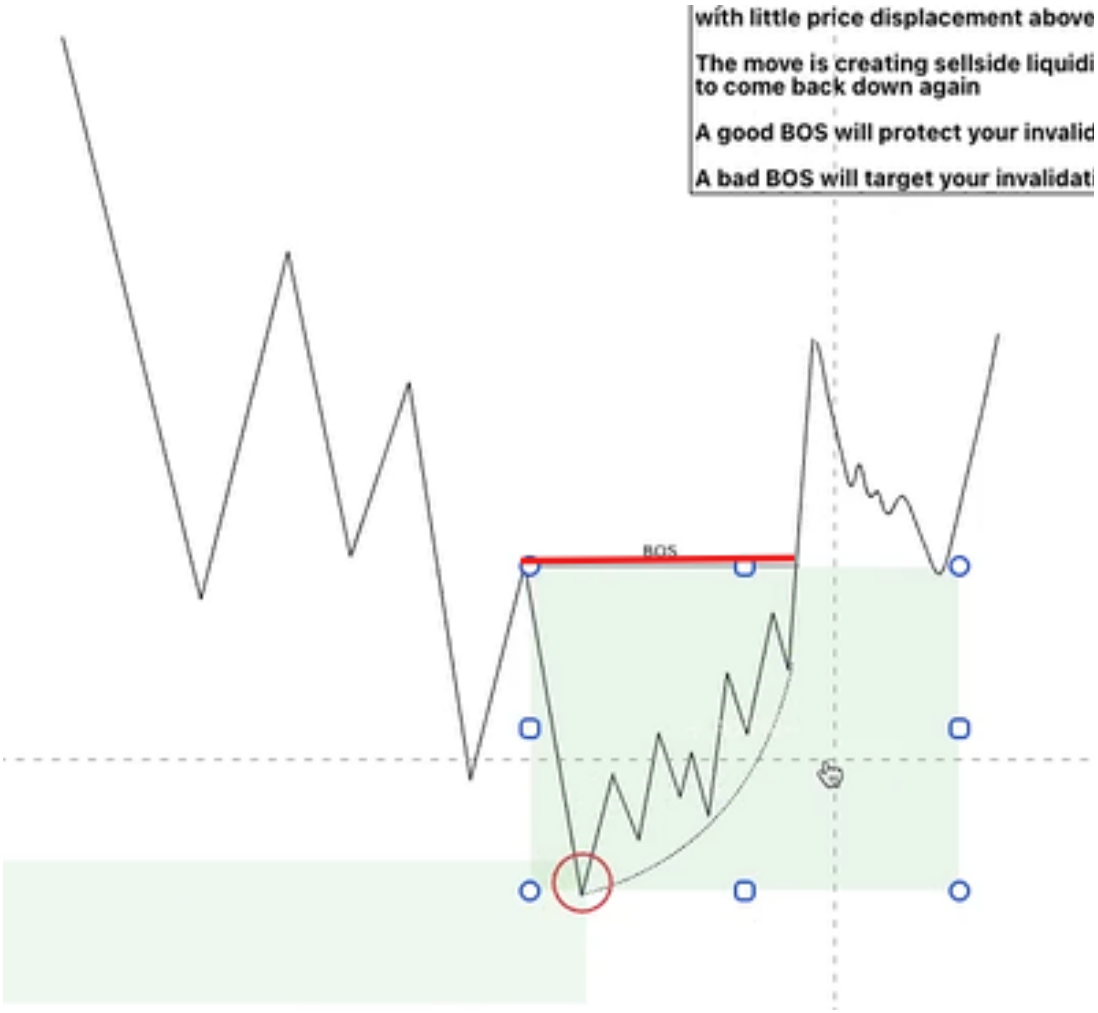
Like in the example above, your V-shape move gets very broad instead of tight and aggressive. This could create a lot of sellside liquidity in this region.

This could create a deviation of the BOS without a good thick candle close above (s not significant). This could create another sell of first before you truly

target higher with a good BOS with a strong V-shape move. (example below):

So if you come up slow while leaving a lot of lows intact, there becomes more reason for price to want to first come down again after the BOS deviation.

A new example for when you WANT to long the bad BOS, is when you break aggressively even tho the price action before is not optimal. You can decide to long on the retest of the S/D zone with a tap and go (supply and demand lecture goes over this). (as shown below):



But if you start to close candles within the block you can expect price to grab the lower liquidity first. (invalidation).

New example below is a weak close above MS high, with possibly a small OBIF below the low. price is likely to go and tap that first before the real move happens. example below (red arrow OBIF, red line = BOS):

Simply a good BOS will defend your invalidation(meaning SL) and a bad BOS will target your invalidation.

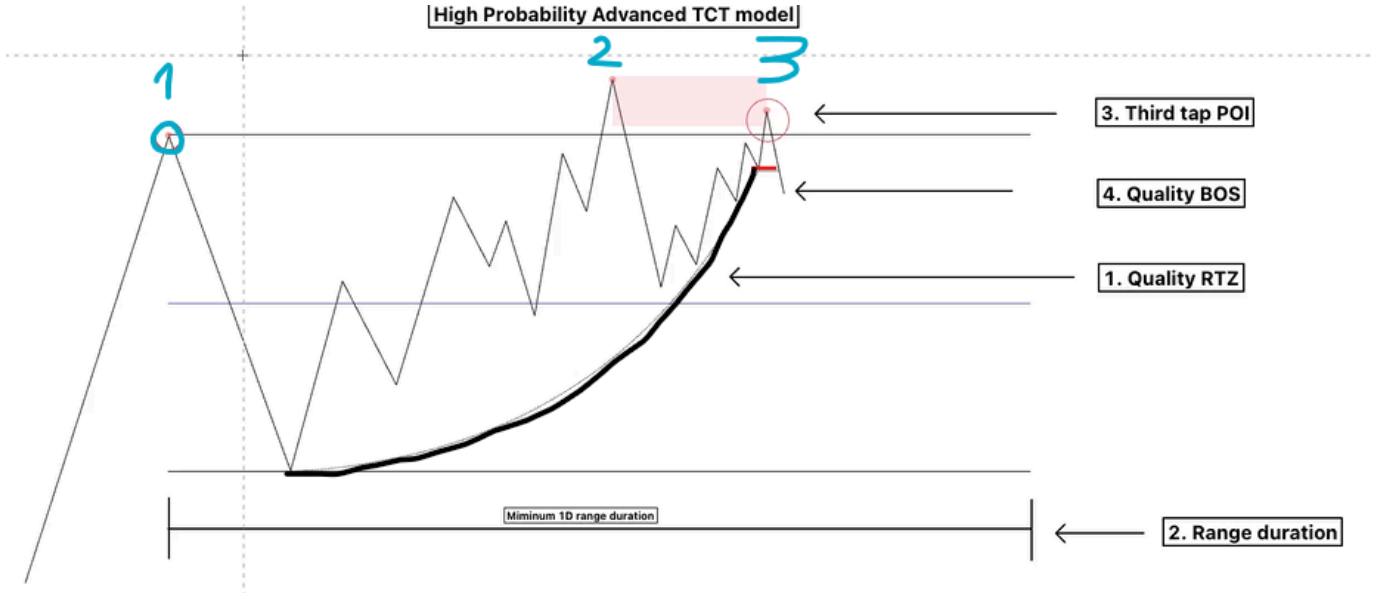
What these TCT models allow you to do is anticipate at a specific point of price and time in the model to allow market makers to step in and bid price higher/lower. So you would love to see aggressive high volume candles.

So in total our High Probability Advanced TCT Model is going to be consisting of this below:

First we need a High Probability Ranging environment. Which is confirmed via a quality RTZ, which can be a quality curve that has 2 different variables. But it can also be trendline liquidity, this is also very high probability. You'll see more RTZ than trendlines though.

The second is going to be a minimum of 1D from a range duration perspective, to avoid trading irrelevant models. With 2 exceptions in section C of the Course PDF's. Most likely 1D and 10H.

The best 3rd tap POI's will have a deviation of tap 1. But you want to be selecting the POI's based on the high probability factor of the POI itself, with your OBIF's that have true inefficiencies on the LTF while being located at or around tap 1. But the best case is always a deviation of tap 1.

But the BOS needs to be a fast and aggressive break. Preferably creating supply protecting price coming to your invalidation.

Below from a model 2 distribution perspective will be your textbook model (red line = BOS, black = the curve):